



ICMAI
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TOPIC NAME: Penalties & Prosecution

Under the Income Tax Act, 2025

Behind every successful business decision, there is always a **CMA**



Chapter Overview: Penalties & Prosecution

STATUTORY LAW — OVERVIEW

Chapter XXI — PENALTIES [Sections 439–472]

- S.439: Under-reporting & Misreporting of Income
- S.440: Immunity from Penalty
- S.441–444: Books, TP documentation, false entries
- S.445–449: NPO violations, audit, TDS/TCS defaults
- S.450–468: Loan/deposit, SFT, CbCR, PAN/TAN violations
- S.469–472: Waiver, procedure, limitation period

Chapter XXII — OFFENCES & PROSECUTION [Sections 473–498]

- S.473–475: Contravention of search orders, property transfer
- S.476–477: Failure to deposit TDS/TCS with Government
- S.478–484: Wilful evasion, false statements, abetment
- S.485–488: Repeat offences, company/HUF liability
- S.489–492: Presumptions, sanction, non-cognizable offences
- S.493–498: Evidence, Special Courts, BNSS application

 All sections refer to Income Tax Act, 2025 (Effective from A.Y. 2026-27)



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Section 439: Penalty for Under-Reporting of Income

STATUTORY LAW — CH. XXI PENALTIES



Section 439(1): Levy of Penalty

- Penalty is imposed by the Competent Authority during any proceeding under the Act.
- Payable in addition to tax, if any.

Section 439(2): When is Income Deemed 'Under-Reported'?

- (a) Income assessed > income determined in return processed u/s 270(1)(a)
- (b) Income assessed > maximum amount not chargeable to tax [where no return filed or first return u/s 280]
- (c) Income reassessed > income assessed/reassessed immediately before
- (d) Deemed total income assessed u/s 206 > deemed income in processed return
- (e) Deemed total income assessed u/s 206 > maximum not chargeable [no return]
- (f) Deemed total income reassessed u/s 206 > deemed income assessed before
- (g) Assessment/reassessment reduces declared loss or converts loss into income

📌 "Competent Authority" = Assessing Officer / JCIT(A) / CIT(A) / Commissioner / Principal Commissioner [S.439(15)]

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Section 439: Amount of Under-Reported Income [S.439(3)–(5)]

STATUTORY LAW — CH. XXI PENALTIES



Section 439(3): Computation of Under-Reported Income

(a) Income assessed for the FIRST TIME:

- Where return furnished: Assessed income MINUS income u/s 270(1)(a)
- No return / First return u/s 280 — Company/Firm/Local authority: Full amount assessed
- No return / First return u/s 280 — Others: Assessed income MINUS maximum amount not chargeable to tax

(b) Any Other Case (Reassessment/Recomputation):

- Difference between income reassessed/recomputed and income in the preceding order

Section 439(4): Deemed Total Income Cases [S.206]

Under-Reported Income = (A-B) + (C-D)

A = Total income assessed under general provisions

B = Income chargeable if under-reported amount deducted from A

C = Total income assessed under S.206

D = Income chargeable if under-reported amount deducted from C

Section 439(5): Special Cases

- (a) Amount considered under both S.206 and general provisions — not reduced from D
- (b) Loss reduced/converted: Under-reported income = Loss claimed MINUS income assessed

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Section 439: Exclusions from Under-Reported Income [S.439(6)–(9)]

STATUTORY LAW — CH. XXI PENALTIES



Section 439(6)–(7): Source of Receipts from Prior Year Additions

- Where source of receipt/deposit/investment is claimed from additions made in prior year, the under-reported income includes the amount needed to cover such receipt/deposit/investment.
- Applied in reverse order: most recent preceding year first, then earlier years.

Section 439(8): What is EXCLUDED from Under-Reported Income?

- (a) Explanation offered is bona fide AND all material facts disclosed — AO satisfied
- (b) Under-reported income based on estimate, accounts are correct/complete but method inadequate
- (c) Assessee self-estimated lower addition and disclosed all material facts
- (d) Addition made per Arm's Length Price by TPO — information maintained, transaction declared, facts disclosed

Section 439(9): Penalty Rate for Under-Reporting

PENALTY: 50% of tax payable on under-reported income

Section 439(13): Bar on Double Penalty

- No addition/disallowance shall form basis for penalty if it has already formed basis for penalty in the same or any other tax year.

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Section 439: Misreporting of Income — Penalty @ 200% [S.439(10)–(14)]

STATUTORY LAW — CH. XXI PENALTIES



Section 439(10): Enhanced Penalty for Misreporting

PENALTY: 200% of tax payable on under-reported income [irrespective of S.439(8) or (9)]

Section 439(11): Six Cases of Misreporting

- (a) Misrepresentation or suppression of facts
- (b) Failure to record investments in books of account
- (c) Claim of expenditure not substantiated by any evidence
- (d) Recording of any false entry in the books of account
- (e) Failure to record any receipt in books of account having a bearing on total income
- (f) Failure to report international/deemed international/specified domestic transaction [Chapter X]

Section 439(12): Tax Payable on Under-Reported Income — Formula

- (a) No return / first return u/s 280, first assessment: Tax on (under-reported income + max. non-taxable amount)
- (b) Preceding order shows a loss: Tax on under-reported income as if it were total income

(c) Other cases: Tax Payable = X - Y
X = Tax on [under-reported income + income in preceding order]
Y = Tax on [income in preceding order / as per S.270(1)(a)]

 Penalty imposed by written order of the Competent Authority [S.439(14)]

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Section 440: Immunity from Penalty

STATUTORY LAW — CH. XXI PENALTIES



Section 440(1): Application for Immunity

- Assessee may apply to the Assessing Officer for immunity from:
 - (i) Penalty under Section 439, AND
 - (ii) Initiation of prosecution under S.478 or S.479

Conditions [S.440(1)(a) and (b)]:

- (a) Tax AND interest payable per assessment/reassessment order u/s 270(10) or S.279 — paid within demand notice period
- (b) No appeal filed against the assessment order

Section 440(2)–(4): Procedure

- Application to be made within ONE MONTH from end of month in which assessment order received
- Form and manner as prescribed
- AO shall grant immunity after expiry of appeal filing period u/s 358(3)(a) — if conditions met
- NO IMMUNITY if penalty initiated under misreporting circumstances [S.439(11)]

Section 440(5)–(8): Orders & Finality

- AO to pass order within THREE MONTHS from end of month of receipt of application
- No rejection without opportunity of being heard [S.440(6)]
- Order is FINAL [S.440(7)]
- No appeal u/s 356/357 or revision u/s 378 against assessment if application accepted [S.440(8)]

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Sections 441 & 442: Books of Account & TP Documentation

STATUTORY LAW — CH. XXI PENALTIES



Section 441: Failure to Keep/Maintain Books of Account

- Authority: Assessing Officer / JCIT(A) / CIT(A)

PENALTY: ₹25,000

- (a) Failure to keep and maintain books of account as per Section 62 or rules for any tax year
- (b) Failure to retain such books for the prescribed period

Section 442: Penalty for Failure to Keep TP Documentation

Section 442(1): Per Transaction [AO / CIT(A)]

PENALTY: 2% of the VALUE of each international transaction or specified domestic transaction

- (a) Fails to keep and maintain information/document as required by S.171(1)
- (b) Fails to report such transaction
- (c) Maintains or furnishes incorrect information/document

Section 442(2): Failure to Furnish under S.171(4)

PENALTY: ₹5,00,000 (Rupees Five Lakh)

- Imposed by the prescribed income-tax authority referred to in S.171(4)

 *S.171: Requirement to furnish information/documents relating to international transactions and SDT*

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Sections 443 & 444: Special Income & False Entries

STATUTORY LAW — CH. XXI PENALTIES



Section 443: Penalty for Certain Income [S.102–106 income]

- Authority: AO / JCIT(A) / CIT(A)

PENALTY: 10% of tax payable under Section 195(1)(i)

- Applicable where income includes amounts referred to in Sections 102, 103, 104, 105 or 106
- Payable in addition to tax under S.195
- NO penalty if income included in return AND tax u/s 195(1)(i) paid before year end [S.443(3)]
- No penalty u/s 439 shall be imposed in respect of such income [S.443(4)]

Section 444: Penalty for False Entry in Books of Account

- Authority: AO / JCIT(A) / CIT(A)

PENALTY: Equal to AGGREGATE amount of false or omitted entry

- S.444(1): Applies to person in whose books the false entry exists
- S.444(2): Also applies to any other person who CAUSES the false entry or omission

Definition of "False Entry" [S.444(3)]:

- (a) Use/intention to use forged or falsified documents (false invoice, false documentary evidence)
- (b) Invoice for supply/receipt of goods/services without actual supply/receipt
- (c) Invoice for supply/receipt from/to a person who does not exist

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Sections 445, 446 & 447: NPO Violations, Audit, Accountant Report

STATUTORY LAW — CH. XXI PENALTIES



Section 445: Benefits to Related Persons [NPO Violations]

- Applies to registered Non-Profit Organisations with specified income taxable u/s 337 (Table: Sl. No. 2)
- Authority: Assessing Officer
- First violation in any tax year:

PENALTY: = Aggregate amount of income applied (directly/indirectly) for benefit of related person [S.355(h)]

- Subsequent violation in any later year:

PENALTY: = 200% of aggregate income applied for benefit of related person

Section 446: Failure to Get Accounts Audited [S.63]

- Authority: Assessing Officer

PENALTY: LESSER of: (a) 0.5% of total sales/turnover/gross receipts in business or profession, OR (b) ₹1,50,000

Section 447: Failure to Furnish Accountant Report [S.172]

- Authority: Assessing Officer

PENALTY: ₹1,00,000 (Rupees One Lakh)

📌 S.172 requires an accountant's report for specified transactions/computations. S.446 covers failure to get accounts audited u/s 63.

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Sections 448 & 449: TDS & TCS Failure Penalties

STATUTORY LAW — CH. XXI PENALTIES



Section 448: Penalty for Failure to Deduct Tax at Source (TDS)

- Authority: Assessing Officer
- Applicable where person fails to:
 - (a) Deduct the whole or any part of tax as required under Chapter XIX-B
 - (b) Pay/ensure payment of tax under:
 - (i) Note 2 below Table in S.393(3), or
 - (ii) Note 6 to S.393(1) (Table: Sl. No. 8)

PENALTY: = Amount of tax which such person FAILED TO DEDUCT or pay

📌 This is in addition to interest u/s 421 for delay in deduction/payment of TDS.

Section 449: Penalty for Failure to Collect Tax at Source (TCS)

- Authority: Assessing Officer
- Applicable where person fails to collect the whole or any part of tax as required under Chapter XIX-B

PENALTY: = Amount of tax which such person FAILED TO COLLECT

📌 Key principle: The penalty equals the tax not deducted/collected — this creates strong deterrence as it doubles the effective burden.

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Sections 450–453: Loan, Deposit & E-Payment Violations

STATUTORY LAW — CH. XXI PENALTIES



Section 450: Violation of Section 185 [Accepting Cash Loans/Deposits]

- Where a person takes/accepts loan, deposit or specified sum in contravention of S.185
- Authority: Assessing Officer

PENALTY: = Amount of loan or deposit or specified sum so taken or accepted

Section 451: Violation of Section 186 [Receiving Specified Amounts]

- Where a person receives any sum in contravention of S.186
- Authority: Assessing Officer

PENALTY: = Sum so received in contravention

Section 452: Violation of Section 187 [Electronic Payment Facility]

- Failure to provide facility for accepting payment through prescribed electronic modes
- Authority: Assessing Officer

PENALTY: ₹5,000 for EVERY DAY of the duration of failure

Section 453: Violation of Section 188 [Repayment of Loans/Deposits]

- Person repays loan/deposit/specified advance otherwise than per S.188
- Authority: Assessing Officer

PENALTY: = Loan or deposit or specified advance so repaid

📌 S.185: Prohibits acceptance of loans/deposits > ₹20,000 in cash. S.188: Requires repayment through banking channels.

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Sections 454–456: SFT, Reportable Account & Investment Fund

STATUTORY LAW — CH. XXI PENALTIES



Section 454: Failure to Furnish SFT [Statement of Financial Transaction]

- Authority: Prescribed Income-Tax Authority [S.508(1)]
- Failure to furnish within prescribed time [S.508(2)]:

PENALTY: ₹500 per day during which failure continues

- Failure to furnish within time specified in notice [S.508(7)]:

PENALTY: ₹1,000 per day from the day after time specified in notice expires

Section 455: Furnishing Inaccurate SFT / Reportable Account

- Authority: Prescribed Income-Tax Authority [S.508]
- (a) Inaccurate information in statement OR failure to furnish correct info [S.508(8)]
- (b) Failure to comply with due diligence requirement [S.508(9)]

PENALTY: ₹50,000

- Additionally — if reporting financial institution [S.508(1)(k)] provides inaccurate info due to false data from account holder:

PENALTY: ₹5,000 per inaccurate reportable account [S.455(2)] — recoverable from account holder

Section 456: Eligible Investment Fund — Failure to Furnish Statement/Info

- Authority: Prescribed Income-Tax Authority

PENALTY: ₹5,00,000 (Five Lakh Rupees) — para 4 of Schedule I

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Sections 457–460: TP, Foreign Transfers, CbCR, Statement Failures

STATUTORY LAW — CH. XXI PENALTIES



Section 457: Failure to Furnish TP Info/Document [S.171(2)]

- Applies to persons in international/specified domestic transactions
- Authority: AO / Transfer Pricing Officer [S.166] / CIT(A)

PENALTY: 2% of value of such transaction for each failure

Section 458: Indian Concern — Failure to Furnish Info/Documents [S.506]

- Authority: Prescribed Income-Tax Authority [S.506]
- Transaction involving direct/indirect transfer of management/control of Indian concern:

PENALTY: 2% of value of such transaction

- Any other case:

PENALTY: ₹5,00,000 (Five Lakh Rupees)

Section 459: Failure to Furnish CbCR [Country-by-Country Report] [S.511]

- Up to 1 month: ₹5,000 per day
- Beyond 1 month: ₹15,000 per day
- After service of penalty order — continuing: ₹50,000 per day
- Failure to produce documents within time [S.511(7)]: ₹5,000/day from day after period expires

PENALTY: Inaccurate CbCR [if entity knew/did not correct within 15 days]: ₹5,00,000

Section 460: Failure to Submit Statement [S.505]

- (a) Up to 3 months: ₹1,000 per day
- (b) Beyond 3 months: ₹1,00,000 (One Lakh) — flat

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Sections 461–464: TDS Statements, Reports & Institutional Penalties

STATUTORY LAW — CH. XXI PENALTIES



Section 461: TDS Statement Delivery Failure [S.397(3)(b)]

- Authority: Assessing Officer
- (a) Failure to deliver within prescribed time, OR (b) Incorrect information in statement

PENALTY: ₹10,000 to ₹1,00,000

- NO penalty if: (i) Tax (+ fee + interest) paid to Central Govt credit, AND (ii) Statement filed within 1 month of prescribed time [S.461(2)]

Section 462: Failure to Furnish Info u/s 397(3)(d) / Inaccurate Info

- Authority: Assessing Officer

PENALTY: ₹1,00,000 (One Lakh Rupees)

Section 463: Incorrect Information by Accountant / Merchant Banker / Valuer

- Authority: AO / JCIT(A) / CIT(A)
- Applies to any report or certificate furnished under this Act

PENALTY: ₹10,000 per report/certificate containing incorrect information

- "Merchant Banker" = Category I MB registered with SEBI
- "Registered Valuer" = Person registered under S.514

PENALTY: ₹10,000 to ₹1,00,000

Section 464: Research Association / Institution / Fund — Default

- Authority: Assessing Officer
- (b) Failure to deliver statement u/s 354(1)(e) or certificate u/s 354(1)(g)
- (a) Failure to deliver documents u/s 45(4)(a), OR

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Section 465: Failure to Answer, Sign, Furnish Returns, Allow Inspection

STATUTORY LAW — CH. XXI PENALTIES



Section 465(1): ₹10,000 Per Default

- (a) Refuses to answer question put by Income-Tax Authority (legally bound to state truth)
- (b) Refuses to sign statement in the course of proceedings
- (c) Failure to comply with summons u/s 246(1) [attend/produce books]
- (d) Failure to comply with notice u/s 268(1) or 270(8) or direction u/s 268(5)

Section 465(2): ₹500 Per Day (Continuing Failures)

- (a) Non-compliance with notice u/s 175(7)
- (b) No notice of discontinuance of business u/s 320(3)
- (c) Failure to furnish returns/statements/particulars u/s 252, 397(3), or 507
- (d) Refusal to allow inspection of register u/s 255
- (e) Failure to file return of income u/s 263(1)(a)(iii)/(iv)
- (f)–(m) Various TDS certificate/declaration/statement failures [S.393, 394, 395, 397, 416, 392]

Section 465(3): Cap on Penalty

- Penalty shall NOT exceed the amount of tax deductible/collectible for: S.393(7) declaration; S.395(4) certificate; S.397(3)(b)/(e) statements

 S.465(4): Penalty imposed by AO / JCIT(A) / PCIT / CIT depending on the specific failure

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Sections 466–468: PAN, Aadhaar & TAN Violation Penalties

STATUTORY LAW — CH. XXI PENALTIES



Section 466: Failure to Comply with S.254 [Special provisions for certain persons]

- Authority: JCIT / Deputy Director / Assistant Director / Assessing Officer

PENALTY: Up to ₹1,000

Section 467: PAN/Aadhaar Violations [S.262]

- S.467(1): Failure to comply with S.262 and S.397(2)(h)

PENALTY: ₹10,000

- S.467(2): Providing/quoting false PAN or Aadhaar number knowingly

PENALTY: ₹10,000 per default

- S.467(3): Failure to quote/authenticate PAN or Aadhaar in documents u/s 262(9)(a)

PENALTY: ₹10,000 per default

- S.467(4): Person responsible for ensuring correct PAN/Aadhaar quoting [S.262(9)(b)] — failure

PENALTY: ₹10,000 per default

Section 468: TAN Violations [S.397]

- S.468(1): Failure to comply with S.397 [Tax Deduction & Collection Account Number provisions]

PENALTY: ₹10,000

- S.468(2): Quoting false TAN in challans, certificates, statements or other documents knowingly

PENALTY: ₹10,000

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Sections 469–472: Waiver, Procedure & Limitation for Penalties

STATUTORY LAW — CH. XXI PENALTIES



Section 469: Power to Reduce or Waive Penalty [S.439]

- Authority: Principal Commissioner or Commissioner (own motion or on application)
- Conditions for waiver/reduction:
 - (a) Full and true voluntary disclosure before AO detected concealment, AND
 - (b) Cooperation in enquiry + paid/arranged tax/interest
- Threshold: If income > ₹5,00,000 — prior approval of PCCIT/CCIT/PDGIT/DGIT required [S.469(3)]
- One-time benefit: Relief not available again after one order is made in assessee's favour [S.469(4)]
- Hardship relief [S.469(5)]: Penalty reduced/waived or compounding if genuine hardship + cooperation
- Aggregate > ₹1,00,000 compounded/waived: Prior PCCIT/CCIT approval required [S.469(6)]

Section 470: No Penalty for Reasonable Cause

- Applies to failures under S.441–468 (except S.439)
- No penalty if person proves there was REASONABLE CAUSE for the failure

Section 471: Procedure

- No penalty order without giving opportunity of being heard [S.471(1)]
- Prior approval of Joint Commissioner required if: penalty > ₹10,000 by ITO; > ₹20,000 by ACIT/DCIT

Section 472: Limitation Period for Penalty Orders

- No penalty after 6 months from end of quarter in which proceedings completed / revision passed / appeal order received / notice issued

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Chapter XXII: Offences & Prosecution — Overview [S.473–475]

STATUTORY LAW — CH. XXII PROSECUTION



Key Principles of Prosecution under Chapter XXII

- Prosecution requires PRIOR SANCTION of PCIT/CIT/CIT(A)/JCIT(A) [S.491]
- Compounding allowed by PCCIT/CCIT/PDGIT/DGIT — before or after institution of proceedings
- Offences under S.476, 478, 479, 480, 482, 484 are NON-COGNIZABLE [S.492]
- Penalty and prosecution can run simultaneously [not mutually exclusive]

Section 473: Contravention of S.247(4) Order [Search Authorization]

PENALTY: Rigorous Imprisonment (RI) up to 2 years + Fine

Section 474: Failure to Afford Facility for Inspection [S.247(1)(ii)]

- Failure to allow authorised officer to inspect books of account

PENALTY: Rigorous Imprisonment up to 2 years + Fine

Section 475: Removal/Concealment/Transfer of Property to Prevent Tax Recovery

- Fraudulent removal, concealment, transfer or delivery of property/interest
- Intent: Prevent execution of certificate drawn under S.413

PENALTY: Rigorous Imprisonment up to 2 years + Fine

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Sections 476 & 477: Failure to Pay TDS/TCS to Central Government

STATUTORY LAW — CH. XXII PROSECUTION



Section 476: Failure to Pay Tax Deducted at Source (TDS) to Govt

- Person deducts TDS but FAILS TO PAY to Central Government
- Also covers failure under Note 2 below Table in S.393(3) and Note 6 to S.393(1) (Table: Sl. No. 8)

PENALTY: Rigorous Imprisonment: NOT LESS THAN 3 months, up to 7 years + Fine

- EXCEPTION [S.476(2)]: No prosecution if payment made to Govt credit on or before time prescribed for filing TDS statement u/s 397(3)(b)

Section 477: Failure to Pay Tax Collected at Source (TCS) to Govt

- Person collects TCS but FAILS TO PAY to Central Government as required u/s 397(3)(a)

PENALTY: Rigorous Imprisonment: NOT LESS THAN 3 months, up to 7 years + Fine

- EXCEPTION [S.477(2)]: No prosecution if TCS paid to Govt credit on or before time prescribed for filing TCS statement u/s 397(3)(b)

📌 CRITICAL: Both S.476 and S.477 involve trust money — tax collected/deducted from others but not remitted. Minimum 3-month imprisonment reflects the severity. Reasonable cause defence available under S.486.

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Section 478: Wilful Attempt to Evade Tax

STATUTORY LAW — CH. XXII PROSECUTION



Section 478(1): Wilful Evasion of Tax, Penalty or Interest

Where amount sought to be evaded EXCEEDS ₹25,00,000:

PENALTY: RI: NOT LESS THAN 6 months, up to 7 years + Fine

Any other case (₹25 lakh or less):

PENALTY: RI: NOT LESS THAN 3 months, up to 2 years + Fine

Section 478(2): Wilful Evasion of PAYMENT of Tax/Penalty/Interest

PENALTY: RI: NOT LESS THAN 3 months, up to 2 years + Fine (at court's discretion)

Section 478(4): What Constitutes Wilful Attempt to Evade?

- (a) Possession/control of books/documents containing false entry/statement
- (b) Making/causing false entry or statement in books/documents
- (c) Wilfully omitting/causing omission of relevant entry or statement
- (d) Causing any circumstance to enable evasion of tax/penalty/interest

📌 *S.478(3): Punishment under S.478 is WITHOUT PREJUDICE to any penalty imposable under other provisions. Prosecution can coexist with penalty under S.439.*

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Sections 479–481: Wilful Failure to File Returns & Produce Accounts

STATUTORY LAW — CH. XXII PROSECUTION



Section 479: Wilful Failure to Furnish Return of Income

Tax evaded EXCEEDS ₹25,00,000:

PENALTY: RI: NOT LESS THAN 6 months, up to 7 years + Fine

Any other case:

PENALTY: Imprisonment: NOT LESS THAN 3 months, up to 2 years + Fine

- NO PROSECUTION if: (a) Return filed u/s 263(4) or 263(6), OR
- (b) Tax payable (net of advance/self-assessment tax/TDS/TCS) does not exceed ₹10,000

Section 480: Wilful Failure to Furnish Return in Search Cases

- Failure to file return required by notice u/s 294(1)(a) in search proceedings

PENALTY: Imprisonment: NOT LESS THAN 3 months, up to 3 years + Fine

Section 481: Wilful Failure to Produce Accounts and Documents

- Wilful failure to produce accounts/documents per notice u/s 268(1)
- OR wilful failure to comply with direction u/s 268(5)

PENALTY: Rigorous Imprisonment up to 1 year + Fine

📌 Unlike S.465 (civil penalty), S.479–481 require WILFUL default. The word "wilful" implies deliberate, conscious non-compliance.

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Sections 482–484: False Statements, Falsification & Abetment

STATUTORY LAW — CH. XXII PROSECUTION



Section 482: False Statement in Verification

- Making a false statement in any verification under this Act or rules, OR
- Delivering an account/statement known/believed to be false or not believed to be true

Tax that would have been evaded EXCEEDS ₹25 lakhs:

PENALTY: RI: NOT LESS THAN 6 months, up to 7 years + Fine

Any other case:

PENALTY: RI: NOT LESS THAN 3 months, up to 2 years + Fine

Section 483: Falsification of Books of Account

- Person (First) wilfully, with intent to enable another (Second) to evade tax/interest/penalty, makes/causes false entry/statement in books of account — knowing it to be false

PENALTY: RI: NOT LESS THAN 3 months, up to 2 years + Fine

- NOTE: Not necessary to prove Second person actually evaded tax [S.483(2)]

Section 484: Abetment of False Return

- Person abets/induces another to: (a) make false account/statement/declaration, or (b) commit offence u/s 478(1)

Amount evaded/wilfully attempted to evade EXCEEDS ₹25 lakhs:

PENALTY: RI: NOT LESS THAN 6 months, up to 7 years + Fine

Any other case:

PENALTY: RI: NOT LESS THAN 3 months, up to 2 years + Fine

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Sections 485–488: Repeat Offences, Company & HUF Liability

STATUTORY LAW — CH. XXII PROSECUTION



Section 485: Punishment for Second and Subsequent Offences

- Applies to person convicted under: S.476, 477, 478(1), 479, 480, 482 or 484
- On second or subsequent conviction for any offence under said sections:

PENALTY: RI: NOT LESS THAN 6 months, up to 7 years + Fine (irrespective of original offence threshold)

Section 486: Reasonable Cause Defence for TDS/TCS Defaults

- No punishment u/s 476 or 477 if person proves REASONABLE CAUSE for failure

Section 487: Offences by Companies

- Every person in charge of and responsible for conduct of business = guilty of offence
- Defence: Offence committed without knowledge OR all due diligence exercised [S.487(2)]
- Director/Manager/Secretary/Officer who consented/connived/neglected = also guilty [S.487(3)]
- If punishment includes imprisonment AND fine: Company = fine only; Persons = imprisonment + fine [S.487(4)]
- "Company" includes firm, AOP, BOI (incorporated or not) [S.487(5)]

Section 488: Offences by Hindu Undivided Family

- Karta of HUF deemed guilty — unless proves no knowledge OR all due diligence exercised [S.488(2)]
- Member who consented/connived/neglected = also guilty [S.488(3)]

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Sections 489–492: Presumptions, Sanction & Non-Cognizable Offences

STATUTORY LAW — CH. XXII PROSECUTION



Section 489: Presumption as to Assets/Books Found in Search

- Assets, books, documents, information found during search u/s 247 — tendered in evidence
- Provisions of S.247(7) apply — deemed to have been found in possession of the person
- Also applies to requisitioning cases under S.248

Section 490: Presumption as to Culpable Mental State

- Court shall PRESUME existence of culpable mental state in prosecution under this Act
- Accused can REBUT by proving absence of such mental state
- "Culpable Mental State" includes: intention, motive, knowledge, belief, reason to believe
- Proof = beyond reasonable doubt (not mere preponderance of probability) [S.490(3)]

Section 491: Sanction Required for Prosecution

- No prosecution u/s 473–484 without PRIOR SANCTION of PCIT/CIT(CIT(A))/JCIT(A)
- PCCIT/CCIT/PDGIT/DGIT may issue directions for institution of proceedings
- No prosecution u/s 478 or 482 if penalty u/s 439 was REDUCED/WAIVED u/s 469 [S.491(3)]
- Any offence may be COMPOUNDED by PCCIT/CCIT/PDGIT/DGIT — before or after institution [S.491(4)]

Section 492: Non-Cognizable Offences

- Offences u/s 476, 478, 479, 480, 482, 484 are NON-COGNIZABLE under BNSS, 2023
- Police cannot arrest without warrant for these offences

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Sections 493–498: Evidence, Special Courts & Trial Procedures

STATUTORY LAW — CH. XXII PROSECUTION



Section 493: Proof of Entries in Records

- Entries in records in custody of Income-Tax Authority admissible in evidence
- May be proved by: (a) Production of original records, OR
- (b) Certified copy of entries bearing signature and certification by IT authority

Section 494: Disclosure by Public Servants

- Public servant furnishing info/document in contravention of S.258(3):

PENALTY: Imprisonment up to 6 months + Fine [Prosecution only with prior sanction of Central Govt]

Section 495: Special Courts

- Central Govt may designate courts of Judicial Magistrate (1st Class) as Special Courts
- Designation in consultation with Chief Justice of High Court

Section 496: Offences Triable by Special Court

- Offences under Chapter XXII triable only by designated Special Court for the area
- Court can take cognizance on complaint by authorised authority under this Act

Section 497: Trial as Summons Case

- Offences punishable with imprisonment $\leq$ 2 years or fine only — tried as SUMMONS CASE

Section 498: BNSS Application; Public Prosecutor

- BNSS 2023 (including bail provisions) applies to Special Court proceedings
- Advocate with 7+ years practice may be appointed Special Public Prosecutor [S.498(3)]

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Penalty & Prosecution Calculators — Index

CALCULATORS — INDEX



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Calc 1: Section 439 — Under-Reporting Penalty [Return Filed]

CALCULATOR — S.439 UNDER-REPORTING

Facts of the Case

Particulars	Amount (₹)
Income declared in Return of Income (processed u/s 270(1)(a))	25,00,000
Income assessed by AO (after additions)	35,00,000
Additions made by AO	10,00,000
Tax rate applicable (assuming slab + surcharge + cess)	35.88%

Step-by-Step Computation

Step 1: Under-Reported Income = Income Assessed - Income in Return
= ₹35,00,000 - ₹25,00,000 = ₹10,00,000 [S.439(3)(a)(i)]

Step 2: Tax on Under-Reported Income [S.439(12)(c)]

X = Tax on (₹10,00,000 + ₹25,00,000) = Tax on ₹35,00,000 @ 35.88% = ₹12,55,800

Y = Tax on ₹25,00,000 @ 26.00% = ₹6,50,000

Tax Payable on Under-Reported Income = X - Y = ₹6,05,800

Step 3: Penalty = 50% × ₹6,05,800 = ₹3,02,900 [S.439(9)]

PENALTY: PENALTY PAYABLE: ₹3,02,900

📌 If the addition was due to misrepresentation of facts [S.439(11)(a)], penalty = 200% × ₹6,05,800 = ₹12,11,600



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Calc 2: Section 439 — Under-Reporting [No Return Filed, Individual]

CALCULATOR — S.439 UNDER-REPORTING

Facts of the Case

Particulars	Amount (₹)
Category	Individual (below 60 years)
Basic exemption limit (Tax Year 2025-26)	3,00,000
Income assessed by AO (first assessment, no return filed)	18,00,000
Tax rate on slab (including surcharge & cess)	26.00%

Step-by-Step Computation

Step 1: Under-Reported Income [S.439(3)(a)(ii)(B) – Individual, no return]
= Income Assessed – Maximum amount not chargeable to tax
= ₹18,00,000 – ₹3,00,000 = ₹15,00,000

Step 2: Tax Payable on Under-Reported Income [S.439(12)(a)]
Tax = Calculated on (Under-Reported Income + Max. Non-Taxable) as if it were total income
= Tax on ₹18,00,000 (₹15,00,000 + ₹3,00,000)
Tax on ₹18,00,000 @ applicable slab = ₹3,75,000 (approx.) | Net Tax = ₹3,75,000

Step 3: Penalty = 50% × ₹3,75,000 = ₹1,87,500 [S.439(9)]

PENALTY: PENALTY PAYABLE: ₹1,87,500

📌 For a Company where no return filed [S.439(3)(a)(ii)(A)]: Under-reported income = FULL income assessed (no basic exemption deduction).



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Calc 3: Section 439 — Misreporting Penalty @ 200% [False Invoice]

CALCULATOR — S.439 MISREPORTING

Facts of the Case

Particulars	Amount (₹)
Income declared in Return	50,00,000
Income assessed after detecting false purchase invoice	65,00,000
False purchase invoice disallowed (expenditure not substantiated)	15,00,000
Nature of addition	Claim of expenditure not substantiated by evidence [S.439(11)(c)]

Step-by-Step Computation

Step 1: Under-Reported Income = ₹65,00,000 - ₹50,00,000 = ₹15,00,000

Step 2: Tax Payable [S.439(12)(c)]

X = Tax on ₹65,00,000 @ 34.32% = ₹22,30,800

Y = Tax on ₹50,00,000 @ 34.32% = ₹17,16,000

Tax Payable = X - Y = ₹5,14,800

Step 3: Penalty [S.439(10)] – MISREPORTING = 200% × ₹5,14,800 = ₹10,29,600

PENALTY: MISREPORTING PENALTY: ₹10,29,600

📌 Had it been mere under-reporting (50% rate): ₹2,57,400. Misreporting **DOUBLES** the penalty.



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Calc 4: Section 439 — Loss Converted to Income

CALCULATOR — S.439 UNDER-REPORTING

Facts of the Case

Particulars	Amount (₹)
Loss declared in Return of Income	(8,00,000)
Income assessed by AO (additions of ₹20,00,000)	12,00,000
Effect	Loss of ₹8L converted to income of ₹12L
Tax rate applicable	26%

Step-by-Step Computation

Step 1: Check if under-reporting occurred [S.439(2)(g)]

Assessment converts loss into income → YES, under-reporting exists

Step 2: Under-Reported Income [S.439(5)(b)]

= Declared loss of ₹8,00,000 – Assessed income of ₹12,00,000

= ₹20,00,000 [the full addition made by AO]

Step 3: Tax Payable [S.439(12)(b)]

[Since preceding order shows loss, treat under-reported income as total income]

Tax = Tax on ₹20,00,000 @ 26% = ₹5,20,000

Step 4: Penalty = 50% × ₹5,20,000 = ₹2,60,000 [S.439(9)]

PENALTY: PENALTY PAYABLE: ₹2,60,000

📌 Key: When preceding order is a loss, tax is computed on under-reported income as if it were the FULL total income — no Y deduction.



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Calc 5: Sections 448 & 449 — TDS/TCS Failure Penalties

CALCULATOR — S.448 & 449



Case A: TDS Failure (Section 448)

Particulars	Amount (₹)
Total contractor payments made during FY 2025-26	80,00,000
Applicable TDS rate (S.394 — Contractors)	2%
TDS required to be deducted	1,60,000
TDS actually deducted	NIL
TDS not deducted	1,60,000

Penalty u/s 448 = Amount of tax FAILED TO DEDUCT = ₹1,60,000

PENALTY: TDS FAILURE PENALTY: ₹1,60,000 (plus interest u/s 421)

Case B: TCS Failure (Section 449)

Particulars	Amount (₹)
Sale of scrap during FY 2025-26	30,00,000
Applicable TCS rate (S.399)	1%
TCS required to be collected	30,000
TCS actually collected	NIL

Penalty u/s 449 = Amount of tax FAILED TO COLLECT = ₹30,000

PENALTY: TCS FAILURE PENALTY: ₹30,000 (plus interest u/s 422) 📌 Both penalties are in addition to interest under S.421/422. The penalty equals the tax itself — effectively a 100% surcharge on the TDS/TCS default.



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Calc 6: Section 446 — Audit Failure Penalty Computation

CALCULATOR — S.446 AUDIT FAILURE

Facts of the Case — Two Scenarios

Scenario A: High Turnover Business

Particulars	Amount (₹)
Total sales/turnover (FY 2025-26)	8,00,00,000
Required to get accounts audited under S.63?	Yes (>₹1 crore)
Accounts audited?	NO — default
0.5% of total sales	4,00,000
Cap under S.446(b)	₹1,50,000
Penalty = LESSER of (a) and (b)	₹1,50,000

PENALTY: Scenario A Penalty: ₹1,50,000 (capped)

Scenario B: Smaller Business

Particulars	Amount (₹)
Total sales/turnover (FY 2025-26)	1,80,00,000
0.5% of ₹1,80,00,000	90,000
Cap under S.446(b)	₹1,50,000
Penalty = LESSER of (a) and (b)	₹90,000

PENALTY: Scenario B Penalty: ₹90,000 (0.5% of turnover) *The ₹1,50,000 cap protects small businesses with very high turnover from disproportionate penalties. The cap operates as a maximum ceiling.*



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Calc 7: Section 442 — Transfer Pricing Documentation Penalty

CALCULATOR — S.442 TRANSFER PRICING



Facts of the Case

Particulars	Details
Type of transaction	International Transaction — Royalty payment to AE
Value of international transaction	₹15,00,00,000 (₹15 Crore)
Default	Failed to maintain documentation required under S.171(1)
Applicable section	S.442(1)(a)
Penalty rate	2% of value of transaction

Computation

Penalty = 2% × Value of International Transaction
= 2% × ₹15,00,00,000 = ₹30,00,000

PENALTY: TP DOCUMENTATION PENALTY: ₹30,00,000

Multiple Defaults under S.442(1) — Each Attracts Separate 2% Penalty

Type of Default	Penalty
Failure to maintain docs [S.442(1)(a)]	2% × ₹15 Cr = ₹30,00,000
Failure to report transaction [S.442(1)(b)]	2% × ₹15 Cr = ₹30,00,000 (separate)
Incorrect information/documents [S.442(1)(c)]	2% × ₹15 Cr = ₹30,00,000 (separate)
Failure under S.171(4) [S.442(2)]	₹5,00,000 flat

Each default under S.442(1)(a), (b), (c) is a SEPARATE violation carrying separate 2% penalty.



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Calc 8: Section 454 — SFT Failure Penalty [₹500 / ₹1,000 per Day]

CALCULATOR — S.454 SFT FAILURE

Facts of the Case

Particulars	Details
Entity	Bank — Reporting Financial Institution
SFT prescribed due date [S.508(2)]	31-May-2026
SFT actually filed	NOT FILED
Notice issued under S.508(7) on	15-June-2026 (time given: 30 days)
Notice compliance date (deadline)	15-July-2026
Actual date of filing	20-August-2026

Penalty Computation

Phase 1: Before notice deadline [S.454(1)]

Period: 31-May-2026 to 14-June-2026 = 14 days

Penalty = 14 days × ₹500/day = ₹7,000

Phase 2: After notice time expires [S.454(2)]

Period: 16-July-2026 to 20-August-2026 = 35 days

Penalty = 35 days × ₹1,000/day = ₹35,000

PENALTY: TOTAL SFT PENALTY: ₹7,000 + ₹35,000 = ₹42,000

📌 The penalty escalates from ₹500 to ₹1,000 per day once the notice-specified deadline passes.



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Calc 9: Section 459 — CbCR Failure Penalty [Tiered Daily Rates]

CALCULATOR — S.459 CbCR FAILURE

Facts of the Case

Particulars	Details
Entity	Indian MNC — Parent with consolidated revenue > ₹5,500 Cr
CbCR filing due date [S.511]	31-March-2026
CbCR actually filed	NOT FILED (continuing default)
Date of penalty order served	15-May-2026
CbCR eventually filed	25-August-2026

Tiered Penalty Computation [S.459(1) and (3)]

Phase 1: First 31 days ($\leq$ 1 month) [S.459(1)(a)]
Period: 31-March to 30-April-2026 = 30 days
Penalty = $30 \times ₹5,000 = ₹1,50,000$

Phase 2: Beyond 1 month, before penalty order [S.459(1)(b)]
Period: 01-May to 14-May-2026 = 14 days
Penalty = $14 \times ₹15,000 = ₹2,10,000$

Phase 3: After penalty order served [S.459(3)]
Period: 15-May to 25-August-2026 = 102 days
Penalty = $102 \times ₹50,000 = ₹51,00,000$

PENALTY: TOTAL CbCR PENALTY: ₹1,50,000 + ₹2,10,000 + ₹51,00,000 = ₹54,60,000

📌 The ₹50,000/day rate post-order creates enormous deterrence. For a 3-month post-order delay, penalty exceeds ₹45 lakh.



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Calc 10: Section 472 — Limitation Period for Penalty Order

CALCULATOR — S.472 LIMITATION

Section 472(1): Six-Month Limitation — Scenarios

Scenario A: Proceedings completed, no appeal [S.472(1)(a)]

Particulars	Date
Assessment order passed	25-September-2026
Quarter ends	30-September-2026
6-month limitation expires	31-March-2027
Penalty order must be passed by	31-March-2027

Scenario B: CIT(A) order received [S.472(1)(c)]

Particulars	Date
CIT(A) order received by jurisdictional PCIT/CIT	15-November-2026
Quarter ends	31-December-2026
6-month limitation expires	30-June-2027
Penalty order must be passed by	30-June-2027

Scenario C: Revision order passed [S.472(1)(b)]

Revision order passed on	10-August-2026
Quarter ends	30-September-2026
Penalty order must be passed by	31-March-2027

📌 Time excluded from limitation: Period of stay/injunction by court [S.472(5)(b)]; Time given for re-hearing u/s 244(2) [S.472(5)(a)]



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Calc 11: Section 440 — Immunity from Penalty — Checklist & Timeline

CALCULATOR — S.440 IMMUNITY

Case Facts

Particulars	Details
Assessment order passed u/s 270(10)	10-October-2026
Tax + Interest demanded in notice	₹12,50,000
Tax + Interest paid by assessee	₹12,50,000 on 15-October-2026 (within demand period)
Appeal filed against assessment?	NO
Penalty initiated for?	Under-reporting under S.439 (NOT misreporting u/s 439(11))

Immunity Application Timeline

Application deadline [S.440(2)]:
End of month of receipt of assessment order = End of October-2026
+ 1 month → Application must be made by 30-November-2026

AO order deadline [S.440(5)]:
End of month of receipt of application = End of November-2026
+ 3 months → AO must pass order by 28-February-2027

Immunity Conditions Checklist **PENALTY: RESULT: ELIGIBLE FOR IMMUNITY — AO SHALL grant immunity from S.439 penalty and S.478/479 prosecution**

Condition	Status	Result
Tax + interest paid within demand period	YES — ₹12.5L paid 15-Oct	✓ PASS
No appeal filed against assessment	NO appeal filed	✓ PASS
Penalty not for misreporting [S.439(11)]	Under-reporting only	✓ PASS

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Calc 12: Section 469 — Penalty Reduction/Waiver Computation

CALCULATOR — S.469 WAIVER

Case Facts

Particulars	Details
Assessment Year	2026-27
Penalty imposed u/s 439	₹ 8,50,000
Nature of default	Under-reporting (not misreporting)
Assessee action	Full voluntary disclosure BEFORE AO detected; cooperated; tax paid
Income involved (penalty basis)	₹ 6,20,000

Waiver Analysis [S.469(1)]

Condition (a): Full & true voluntary disclosure before detection → SATISFIED
Condition (b): Cooperation in enquiry + tax paid → SATISFIED

Prior Approval Requirement [S.469(3)]

Threshold	₹5,00,000
Income involved	₹6,20,000 > ₹5,00,000
Prior approval required from	PCCIT / CCIT / PDGIT / DGIT
Who can grant waiver?	PCIT / CIT (after obtaining prior approval)

Hardship Relief [S.469(5) & (6)]

If penalty/penalties waived/compounded > ₹1,00,000 under S.469(5):
→ Prior approval of PCCIT/CCIT/PDGIT/DGIT required [S.469(6)]
→ Order to be passed within 12 months [S.469(7)]

📌 S.469(4): One-time benefit only. Once an order under S.469 is made in assessee's favour, no further relief for any other tax year.

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Calc 13: Prosecution Threshold Test — ₹25 Lakh [S.478/479/482/484]

CALCULATOR — PROSECUTION THRESHOLD

The ₹25 Lakh Threshold — When Does it Apply?

Section	Offence	Threshold Amount
S.478(1)	Wilful evasion of tax	Tax sought to be evaded
S.479(1)	Wilful failure to file return	Tax that would have been evaded
S.482	False statement in verification	Tax that would have been evaded
S.484	Abetment	Tax/penalty wilfully attempted to be evaded

Worked Example — Section 478 Threshold Test

Particulars	Case A (₹)	Case B (₹)
Tax evaded (additional tax on concealed income)	28,00,000	22,00,000
Does amount exceed ₹25 lakhs?	YES	NO
Applicable punishment	RI: 6 months to 7 years + fine	RI: 3 months to 2 years + fine
Minimum imprisonment	6 months	3 months
Maximum imprisonment	7 years	2 years

"Tax sought to be evaded" = additional tax on concealed income computed at applicable rates including surcharge and cess.

PENALTY: If threshold crossed: Minimum 6 months RI is MANDATORY — court has no discretion to reduce below minimum

📌 S.485: Second conviction for any S.476/477/478(1)/479/480/482/484 offence always attracts RI 6 months–7 years regardless of amount.



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Calc 14: Comprehensive Case Study — Multiple Penalties [One Assessment]

CALCULATOR — COMPREHENSIVE CASE

Case Facts: ABC Pvt. Ltd. — Assessment for AY 2026-27

Default	Section	Computation	Penalty (₹)
Under-reported income ₹20L (return filed, income assessed ₹70L vs ₹50L declared)	S.439(9)	$50\% \times \text{tax on ₹20L} = 50\% \times ₹6,93,600$	3,46,800
Failure to get accounts audited; Turnover ₹4 Cr	S.446	Min of: $0.5\% \times 4\text{Cr} = ₹2\text{L}$ vs ₹1.5L	1,50,000
Failure to deduct TDS on rent payments of ₹25L; TDS rate 10%	S.448	= Tax not deducted: $10\% \times ₹25\text{L}$	2,50,000
False entry in books — inflated purchase ₹5L	S.444	= Aggregate false entry	5,00,000
Failure to maintain TP documentation for SDT ₹3 Cr	S.442(1)(a)	$2\% \times ₹3\text{ Cr}$	6,00,000

AGGREGATE PENALTY SUMMARY:	
S.439 Under-reporting	= ₹ 3,46,800
S.446 Audit failure	= ₹ 1,50,000
S.448 TDS failure	= ₹ 2,50,000
S.444 False entry	= ₹ 5,00,000
S.442 TP documentation	= ₹ 6,00,000
TOTAL PENALTIES	= ₹18,46,800

PENALTY: Total Penalties: ₹18,46,800 — in addition to tax of ~₹20L + interest



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Calc 15: Prosecution Case Study — Wilful Evasion [S.478]

CALCULATOR — PROSECUTION CASE

Case Facts: Mr. X — Wilful Tax Evasion

Particulars	Details
Return filed for AY 2026-27	Yes — income of ₹40,00,000 declared
Search conducted u/s 247	Yes — unaccounted cash found
Unaccounted income discovered	₹32,00,000
Nature of concealment	Suppression of facts + failure to record cash receipts [S.439(11)(a)/(e)]
Tax evaded (on ₹32L @ 35.88%)	₹11,48,160

Step 1: Penalty Computation

Nature: MISREPORTING [S.439(10)/(11)]
Under-reported income = ₹32,00,000
Tax on under-reported income (approx.) = ₹11,48,160
Penalty = 200% × ₹11,48,160 = ₹22,96,320

Step 2: Prosecution Threshold Test [S.478]

Tax evaded = ₹11,48,160 < ₹25,00,000
→ Case B applies: RI 3 months to 2 years + fine

If previous conviction exists [S.485]: RI 6 months to 7 years mandatorily

Step 3: Prosecution Sanction

Prior sanction required from: PCIT / CIT / CIT(A) / JCIT(A) [S.491(1)]
Immunity u/s 440 NOT available – misreporting u/s 439(11) involved [S.440(4)]



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Calc 16: TDS Non-Remittance — Prosecution Analysis [S.476]

CALCULATOR — PROSECUTION S.476

Case Facts: PQR Ltd. — TDS Collected but Not Remitted

Particulars	Details
TDS deducted from contractor payments (FY 2025-26)	₹18,50,000
TDS due date for remittance to Govt	Within 7 days from end of each month
TDS actually remitted	NIL (company used funds for working capital)
Reason for non-remittance	Cash flow issues (NOT reasonable cause)
Date of TDS statement filing u/s 397(3)(b)	Filed on 31-July-2026

Penalty Computation [S.448]

Penalty = Amount of TDS failed to pay = ₹18,50,000

Prosecution Analysis [S.476]

Exception Check [S.476(2)]: Was TDS paid before filing of TDS statement u/s 397(3)(b)?
TDS not paid even by 31-July-2026 → EXCEPTION DOES NOT APPLY
→ Prosecution under S.476 can proceed (with prior sanction u/s 491)

Element	Analysis
Sanction required from	PCIT / CIT / CIT(A) / JCIT(A) [S.491]
Offence	Non-cognizable under BNSS 2023 [S.492]
Punishment	RI: 3 months to 7 years + Fine [S.476]
Compounding possible?	YES — by PCCIT/CCIT/PDGIT/DGIT [S.491(4)]
S.486 defence available?	Must prove REASONABLE CAUSE — cash flow not sufficient

PENALTY: Penalty: ₹18,50,000 + Prosecution: RI 3 months to 7 years



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Quick Reference: All Key Penalties at a Glance

CALCULATORS — SUMMARY TABLE

Chapter XXI — Key Penalties Summary

Section	Default	Penalty
S.439(9)	Under-reporting of income	50% of tax on under-reported income
S.439(10)	Misreporting (6 specific cases)	200% of tax on under-reported income
S.441	Books of account failure	₹25,000
S.442(1)	TP documentation failure	2% of transaction value
S.444	False entry in books	= Aggregate false/omitted entry
S.446	Audit failure	Min of: 0.5% turnover or ₹1,50,000
S.447	Accountant report failure	₹1,00,000
S.448/449	TDS/TCS failure	= Tax not deducted/collected
S.452	E-payment facility failure	₹5,000 per day
S.454	SFT failure	₹500/day → ₹1,000/day (post-notice)
S.459	CbCR failure	₹5K/₹15K/₹50K per day (tiered)

Chapter XXII — Key Prosecution Punishments Summary

Section	Offence	Punishment
S.476/477	TDS/TCS not paid to Govt	RI: 3 months to 7 years + Fine
S.478 (>₹25L)	Wilful evasion (high value)	RI: 6 months to 7 years + Fine
S.478 (others)	Wilful evasion (lower value)	RI: 3 months to 2 years + Fine
S.479 (>₹25L)	Wilful non-filing (high value)	RI: 6 months to 7 years + Fine
S.482	False statement in verification	RI: 3 months to 7 years + Fine
S.485	Second/subsequent offence	RI: 6 months to 7 years + Fine (always)

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Mock Return of Income — Filing Obligations (Section 263)



RETURN OF INCOME — TAX YEAR 2026–27 | Illustrative format based on Section 263, ITA 2025

PART A — GENERAL INFORMATION

Field	Detail
Name of Assessee	Mr. Arjun Sharma
Permanent Account Number (PAN)	ABCDE1234F
Tax Year	2026–27 (1 April 2026 – 31 March 2027)
Status	Individual — Resident
Date of Birth	15th March 1985
Filing Date	31st July 2027 (due date under Sec. 263(1)(c))
Aadhaar Number	1234 5678 9012

PART B — INCOME COMPUTATION

Head of Income	Amount (₹)
Salaries (Section 15–19)	18,00,000
Income from House Property (let out)	2,40,000
PGBP (if any)	Nil
Capital Gains (LTCG on equity shares)	1,50,000
Income from Other Sources (FD Interest)	80,000
Gross Total Income	22,70,000
Less: Deductions under Chapter VIII	(1,50,000)
Total Income	21,20,000

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Mock Notice — Inquiry Before Assessment (Section 268, ITA 2025)



INCOME TAX DEPARTMENT | Office of the Assessing Officer — Ward [●], Circle [●]

NOTICE UNDER SECTION 268(1) OF THE INCOME-TAX ACT, 2025

To:	Mr./Ms. [Name of Assessee]
PAN:	[●]
Address:	[●]
Tax Year:	2026–27

Dear Sir/Madam,

You are hereby required to attend in person or through an authorised representative, or to produce, or cause to be produced, the following books of account, documents, and information on [Date] at [Time] at the office of the undersigned:

- Return of Income filed for Tax Year 2026–27 along with all supporting documents
- Books of account maintained under Section 62 of the Income-tax Act, 2025
- Bank statements for all accounts held during the Tax Year 2026–27
- Audited accounts and audit report (if applicable under Section 63)
- Details of all capital transactions and documentary evidence
- Any other document relevant to the determination of your total income

Failure to comply without reasonable cause may render you liable to penalty under relevant provisions of the Act, and may also constitute an offence under Section 481 of the Income-tax Act, 2025.

Dated: [●] | [Signature] Assessing Officer |
[Designation, Address, Contact]

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Mock Notice — Escaped Assessment (Section 280, ITA 2025)



INCOME TAX DEPARTMENT | NOTICE UNDER SECTION 280(2) OF THE INCOME-TAX ACT, 2025 | (Corresponding to Section 148, ITA 1961)

To:	Mr./Ms. [Name]
PAN:	[●]
Tax Year:	[●]

Dear Sir/Madam,

I have reason to believe that your income chargeable to tax for the Tax Year [●] has escaped assessment within the meaning of Section 279 of the Income-tax Act, 2025.

You are therefore required to furnish, within 30 days of the service of this notice (or such extended time as may be allowed), a return of income in the prescribed form for the Tax Year [●].

Reason for Reopening: [To be stated in accordance with the provisions of Section 281 — Procedure before issuance of notice; note that the reasons must have been communicated to the assessee before issuance of this notice per Section 281 requirements]

Documents Required with Return:

- Audited accounts (if applicable)
- Bank statements for the relevant Tax Year
- Documents in support of all income and deductions claimed
- Explanation for [specific item(s) that triggered reopening]

Please note that suppression of any information or filing of an incomplete return may attract penalty and prosecution under the relevant provisions of Chapter XXI and XXII of the Income-tax Act, 2025.

Dated: [●] | [Signature] Assessing Officer | [Designation]



Mock Reference — GAAR Applicability (Rule 129, IT Rules 2026)



FORM NO. 62 | REFERENCE UNDER SECTION 274(1) READ WITH RULE 129(3) OF THE INCOME-TAX RULES, 2026

TO: The Commissioner of Income-tax, [●] | FROM: The Assessing Officer, Ward/Circle [●]

SUBJECT: Reference regarding applicability of provisions of Chapter XI (GAAR) in the case of M/s. [Assessee Name], PAN [●], for Tax Year [●]

1. Details of the Arrangement:

The assessee, M/s. [ABC], has entered into the following arrangement: [Describe arrangement — e.g., interposing an intermediate holding company in a low-tax jurisdiction to route dividend income from an Indian subsidiary]

2. Tax Benefit Arising:

The aggregate tax benefit to all parties = ₹[●] (exceeds ₹3 crore threshold of Rule 128(1)(a))

3. Basis for Proposing Application of Chapter XI:

- Main purpose of the arrangement is to obtain tax benefit because [reasons]
- The arrangement satisfies Section 179(1)(a) — rights/obligations not created between arm's length parties because [reasons]
- The arrangement lacks commercial substance under Section 180 because [reasons]

4. Documents and Evidence Relied Upon:

[List of documents]

5. Prior Notice to Assessee:

A notice was issued to the assessee on [Date] seeking objections; assessee's response is enclosed.

Submitted for consideration and directions. | [Signature of Assessing Officer] Date:

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Mock Commissioner's Order — GAAR Not Applicable (Form No. 63)



FORM NO. 63 | DIRECTIONS UNDER SECTION 274(3) READ WITH RULE 129(4) OF THE INCOME-TAX RULES, 2026

Case:	M/s. [Assessee Name], PAN [●], Tax Year [●]
1. Reference Received from:	AO, Ward/Circle [●], on [Date]
2. Response of Assessee:	Received on [Date] — submitted that the arrangement has genuine commercial substance because [reasons given by assessee]

3. Commissioner's Satisfaction

Having considered:

- (a) The reference received from the Assessing Officer (Rule 129(4)(a))
- (b) The reply of the assessee in response to the notice issued under Section 274(2)

I am satisfied that the provisions of Chapter XI (GAAR) are NOT required to be invoked with reference to the described arrangement because:

- [i] The arrangement has independent commercial substance — [specify]
- [ii] The main purpose is NOT solely to obtain tax benefit — [specify]
- [iii] The arrangement does not satisfy the conditions under Section 179(1)(a)/(b)/(c)/(d) because — [specify]

4. Directions to Assessing Officer: You are hereby directed to NOT apply the provisions of Chapter XI in the above case and to complete the assessment on merits without invoking GAAR.

[Signature] Commissioner of Income-tax Date:

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Mock Reporting Statement — Reportable Account Information (Rule 239(9), IT Rules 2026)



STATEMENT OF REPORTABLE ACCOUNT — FORM NO. 166 | Under Rule 239(9) of the Income-tax Rules, 2026 read with Section 508(1)(k) of the Income-tax Act, 2025

Reporting Financial Institution:	[Name of Bank/Financial Institution]
Registration Number:	[●]
Calendar Year:	2026
Date of Filing:	31st May 2027 (as required under Rule 239(9))

Account Holder Details (Per Account):

Field	Details	Field	Details
Account Holder Name	[●]	Account Type	Depository / Custodial / Other
Country/Territory of Tax Residence	[●]	Pre-existing / New Account	[●]
Taxpayer Identification Number (TIN)	[●]	Account Balance/Value at Year-End	₹[●]
Date of Birth / Place of Birth	[●]	Gross Interest Paid (if depository)	₹[●]
Account Number	[●]	Gross Dividends / Proceeds from Sale	₹[●]

Certification: I, [Name], Designated Director of [Institution], certify that the information provided is true, complete, and correct, based on due diligence procedures under Rules 238–240, IT Rules 2026.
[Digital Signature] [Designated Director] Date:

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Mock TDS Certificate and Statement — Form 26Q/16A (Illustrative)



CERTIFICATE OF DEDUCTION OF TAX AT SOURCE | Under Section 393 read with Section 397 of the Income-tax Act, 2025 | (Corresponding to Form 16A under erstwhile rules)

Deductor Name:	ABC Pvt. Ltd.
TAN:	ABCD12345E
Deductee Name:	Mr. Professional
Deductee PAN:	XYZAB1234C
Tax Year:	2026–27
Quarter:	Q4 (January–March 2027)

DETAILS OF TAX DEDUCTED:

Date of Payment/Credit	Nature of Payment	Amount Paid (₹)	TDS Rate	TDS Deducted (₹)	BSR Code	Challan No.	Date of Deposit
15-01-2027	Professional Fees [Sl. No. 6(iii)]	2,00,000	10%	20,000	[●]	[●]	07-02-2027
15-02-2027	Professional Fees [Sl. No. 6(iii)]	2,00,000	10%	20,000	[●]	[●]	07-03-2027
15-03-2027	Professional Fees [Sl. No. 6(iii)]	2,00,000	10%	20,000	[●]	[●]	07-04-2027
Total		6,00,000		60,000			

Verification: I certify that the tax deducted as above has been paid to the credit of the Central Government. [Signature] Authorised Signatory, ABC Pvt. Ltd. Date:

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Mock Application — Zero Coupon Bond Notification (Rule 7, IT Rules 2026)



APPLICATION FOR NOTIFICATION OF ZERO COUPON BOND | Under Rule 7(1) of the Income-tax Rules, 2026 | [Form No. 2 — at least 3 months before date of issue]

To: The Member (Income Tax), Central Board of Direct Taxes, New Delhi

From: [Name of Infrastructure Capital Company / Public Sector Company] [Address] [PAN]

Details of Proposed Zero Coupon Bond:

Particulars	Details
Name of the Bond	[ABC Infrastructure Bond 2026]
Period of Life of Bond	12 years (within 10–20 year range per Rule 7(5)(a))
Discount (issue price vs maturity amount)	₹[●] per bond
Amount Payable on Maturity/Redemption	₹[●] per bond
Number of Bonds to be Issued	[●]
Credit Ratings	[Rating Agency 1: AA+]; [Rating Agency 2: AA] (min. investment grade from 2 SEBI-registered agencies)
Listing Stock Exchange	[BSE / NSE]

Investment Schedule Undertaking [Rule 7(5)(d)]:

- At least 25% of realisation to be invested before end of financial year following the year of issue
- Balance to be invested within 4 financial years following the year of issue

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Mock Modified Return — Business Reorganisation (Section 314)



MODIFIED RETURN OF INCOME | Under Section 314(1) of the Income-tax Act, 2025 | Note: Modified return to be furnished by successor within 6 months from end of month of reorganisation order

Assessee (Successor):	XYZ Ltd. (Resulting Company)
PAN:	[●]
Tax Year to which order applies:	2025–26
Order of Business Reorganisation:	NCLT Order dated [●] sanctioning demerger of Division A from ABC Ltd. (Demerged Company) into XYZ Ltd.

Purpose of Modified Return: To give effect to the order of business reorganisation (demerger), adjusting income, deductions, and liabilities of the successor entity for Tax Year 2025–26 in accordance with the NCLT order

Modified Income Statement (Illustrative):

Head	Original Return	Modification	Modified Amount
PGBP — Division A Income	Nil	(+) ₹ 50,00,000	₹ 50,00,000
Depreciation on Division A assets	Nil	(–) ₹ 8,00,000	(₹ 8,00,000)
Net PGBP	Nil		₹ 42,00,000
Capital Gains (if any from transfer)	[●]	[Adjust per order]	[●]

Action by AO [Section 314(2)(a)]: If assessment already completed — AO to pass order modifying the total income in accordance with the order of business reorganisation and the modified return. [Signature of Authorised Signatory] Date:



Mock Penalty Waiver Application (Section 469, ITA 2025)

APPLICATION FOR WAIVER / REDUCTION OF PENALTY | Under Section 469(5) of the Income-tax Act, 2025



To: The Principal Commissioner/Commissioner of Income-tax, [Address]

From: [Name of Assessee], PAN [●] [Address]

Subject: Application for waiver/reduction of penalty imposed under Section [●] of the Income-tax Act, 2025 for Tax Year [●]

1. Details of Penalty:

- Order imposing penalty dated [●]
- Nature of default: [e.g., failure to maintain books of account]
- Penalty imposed: ₹[●]

2. Grounds for Waiver — Genuine Hardship:

- Medical emergency prevented compliance
- Natural disaster caused destruction of records
- Bona fide misunderstanding of law
- First offence with otherwise clean compliance history

3. Cooperation with Inquiry:

- Voluntarily produced all available records when notices were received
- Responded to all enquiries within time
- Participated constructively in all hearings

4. Relief Sought:

Full waiver of penalty / Reduction to ₹[●]

I solemnly declare that the facts stated above are true and correct.

[Signature] [Name, Designation if applicable] Date:

Note: Application to be disposed of within 12 months from month of receipt. If waiver/compound exceeds ₹1,00,000 — prior approval of Principal Chief Commissioner / Chief Commissioner required.

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Mock Annual Statement — Exempt Income of Specified Fund (Form No. 68)



FORM NO. 68 — ANNUAL STATEMENT OF EXEMPT INCOME | Under Rule 139(2) of the Income-tax Rules, 2026 | Exempt income of Specified Fund attributable to units held by non-resident

Filing Deadline: On or before the due date specified under Section 263(1)(c) (i.e., 30th November of the relevant Tax Year for funds subject to audit)

Name of Specified Fund:	[ABC Alternative Investment Fund]
PAN:	[●]
Tax Year:	2026–27
Regulator (SEBI):	Category [I/II/III] AIF

Component	Amount of Income (₹)	Ratio (Non-Resident AUM / Total AUM)	Exempt Income Attributed (₹)
A — Capital gains from transfer on IFSC stock exchange	₹50,00,000	r1 = 0.70	₹35,00,000
B — Capital gains from transfer of non-Indian securities	₹30,00,000	r2 = 0.70	₹21,00,000
C — Income from securities of non-resident	₹20,00,000	r3 = 0.72	₹14,40,000
D — Income from securitisation trust (PGBP)	₹10,00,000	r4 = 0.68	₹6,80,000
Total Exempt Income			₹77,20,000

Computation of Exempt Income | Rule 139(1) Formula: $(A \times r1) + (B \times r2) + (C \times r3) + (D \times r4)$

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INCOME-TAX ACT, 2025

Forms, Strategy & Litigation Guide

IT Rules 2026 | ITA 2025

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Form — Declaration for New Tax Regime (Rule 136, IT Rules 2026)

Note: Per Rule 136, option is exercised/withdrawn in the return of income under Section 263(1) — not by a separate form.



Sl. No.	Section	Person to Whom Option Applies
1	199(3)	Manufacturing domestic company
2	200(5)	Domestic company
3	201(2)	New manufacturing domestic company
4	202(4)	Individual / HUF / AOP (other than co-operative society) / BOI / artificial juridical person
5	203(5)	Resident co-operative society
6	204(2)	New manufacturing co-operative society

ITR Checkbox — I/We hereby opt for taxation under Section [199/200/201/202/203/204] of the Income-tax Act, 2025 for Tax Year 2026–27; OR withdraw previously exercised option and opt out for Tax Year 2026–27.

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Form — Annual Certificate for Zero Coupon Bond Investment (Rule 7(8), IT Rules 2026)

In Form No. 3 — to be submitted within 2 months from the end of each financial year. To: Central Government (through CBDT).



Financial Year	Minimum Required Investment	Actual Amount Invested	Cumulative Investment	Compliance
FY 2026–27 (Year 1)	25% of realisation = ₹[●]	₹[●]	₹[●]	✓ / ✗
FY 2027–28 (Year 2)	Balance within 4 years	₹[●]	₹[●]	✓ / ✗

Certificate of Accountant: I, [Name], Chartered Accountant (as defined in Section 515(3)(b) of the Income-tax Act, 2025), certify that the amounts stated above as invested in each year are correct and in accordance with Rule 7(5)(d) of the Income-tax Rules, 2026. [Signature and Membership No. of CA] Date: _____

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Form — Pre-Reference Notice to Assessee — GAAR (Rule 129(1), IT Rules 2026)

NOTICE UNDER RULE 129(1) — Before making reference under Section 274(1) | To: M/s. [Assessee Name], PAN [●] | Tax Year: [●]

- It is proposed to make a reference to the Commissioner under Section 274(1) regarding applicability of Chapter XI (GAAR) to arrangement entered into by the assessee.

Required Particulars in Notice:

- 1. Details of the Arrangement — describe specifically (e.g., interposition of entities, artificial losses, round-trip financing, treaty shopping)
- 2. Tax Benefit Arising — ₹[●] in Tax Year [●], being [describe — e.g., reduction in tax via treaty exemption]
- 3. Basis for Considering Main Purpose is Tax Benefit — [Specific reasons]
- 4. Basis for Satisfying Section 179(1)(a) to (d) Conditions — [Conditions and reasons for each sub-clause]
- 5. Documents Relied Upon — [List enclosed documents]

Procedural Requirement:

- Assessee is requested to submit objections (if any) within [●] days from date of service of notice. [Signature — Assessing Officer]
Dated: [●]



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PART D: STRATEGY

Strategy — Invoking Reasonable Cause to Avoid Penalties (Section 470)



Statutory Shield — Section 470

"No penalty shall be imposed ... if the person proves there was reasonable cause for the failure."

- Applies to failures under Sections 441, 442, 446–468, 465(1)(c)/(d), 465(2), 466–468

Recognised "Reasonable Cause":

- Bona fide misinterpretation of a legal provision
- Medical incapacity of the assessee or key person
- Natural disaster or force majeure
- Reliance on professional advice in good faith
- Technical/systemic failure (for electronic filings)

Key Practice Points:

- Burden of proof lies on the assessee to prove reasonable cause
- Defence must be raised at the penalty stage — not first time in appeal
- Penalty and assessment proceedings are independent — contest separately

What Does NOT Constitute Reasonable Cause:

- Mere ignorance of law (generally)
- Cash flow difficulties (unless truly exceptional)
- Reliance on a professional who did not follow instructions

Waiver Application — Section 469:

- Even where reasonable cause is unavailable, may apply for genuine hardship waiver before the Principal Commissioner/Commissioner

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Strategy — Using Presumptive Taxation to Minimise Disputes (Section 58)



Why Opt for Presumptive Taxation:

- No requirement to maintain detailed books or audit (subject to Section 58(3))
- Eliminates risk of disallowances on books-based scrutiny
- Reduces compliance burden and litigation cost

Critical Threshold Management:

- 5% cash receipt threshold determines ₹2 crore or ₹3 crore turnover limit applicability
- Strategy: route maximum receipts through digital/banking channels to remain within ₹3 crore threshold
- Cheque not account payee or bank draft not account payee is treated as cash

Section 58(7) — 5-Year Lock-Out Risk:

- If assessee declares profit below prescribed % in any of the succeeding 5 Tax Years → ineligible for Section 58 for next 5 years from that year

Pre-emption Strategy:

- If actual profit is likely to fall below presumptive threshold, safer to switch out BEFORE opting in
- Section 58(8): If locked out and total income exceeds exemption limit — books and audit become mandatory

Professional Assessee Threshold:

- If cash receipts exceed 5% — threshold is ₹50 lakh (not ₹75 lakh) — monitor throughout the year

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Strategy — Structuring Arrangements to Stay Outside GAAR (Rule 128)



Four Safe Harbours under Rule 128(1):

- 1. Aggregate Tax Benefit $\leq$ ₹3 Crore [Rule 128(1)(a)]: tax benefit measured per tax year for all parties; structure transactions in phases to stay below ₹3 crore annually
- 2. FII Investments in Listed Securities [Rule 128(1)(b)]: FII must be assessee, must not have taken treaty benefit, must have invested in listed securities under SEBI regulations
- 3. Non-Residents via Offshore Derivative Instruments [Rule 128(1)(c)]: protected if investing through FIIs
- 4. Pre-1st April 2017 Investments [Rule 128(1)(d)]: income from transfer of such investments outside GAAR — but GAAR applies to tax benefits obtained on/after 1 April 2017 even from pre-2017 arrangements [Rule 128(2)]

Commercial Substance — Key Defence:

- Even outside safe harbours, arrangements with genuine commercial substance are NOT GAAR-impermissible
- Build and document commercial rationale: purpose beyond tax, economic effect, business decisions driving structure, risk/reward considerations
- GAAR requires the main purpose to be tax benefit — showing multiple purposes (even if tax saving is one) can defeat GAAR if commercial substance is real

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Strategy — Managing Thin Capitalisation Disallowances (Section 177)



The 30% EBITDA Rule:

- Interest to associated enterprises exceeding 30% of EBITDA is disallowed in the tax year
- Disallowed excess is carried forward for 8 years and can be absorbed in later years

Planning Strategies:

- 1. Maximise EBITDA — review depreciation methods; ensure all income is correctly classified
- 2. Reduce AE Debt — substitute AE debt with third-party debt (only AE interest triggers the 30% test); reducing AE interest below EBITDA gap eliminates restriction
- 3. Carry Forward Utilisation — monitor excess interest carry-forward; plan EBITDA growth in later years

- 4. IFSC Finance Company — interest paid to a Finance Company in IFSC may escape Section 177 entirely if conditions of Rule 126 are met (permitted activities, payment in foreign currency)
- 5. Banking/Insurance Entities — Section 177(3): does not apply to Indian companies or PEs of foreign companies engaged in banking, insurance, or IFSC Finance Companies

Cap Formula:

The cap is the LOWER of: (i) excess total interest over 30% EBITDA; or (ii) interest to AE. Reducing AE interest to below the EBITDA gap eliminates the restriction entirely.



Strategy — Defending in Search and Block Assessment Cases (Section 247)



Assessee Rights During Search (Section 247):

- Right to be examined on oath [Sec. 247(6)]
- Retract statements made under duress or without full understanding — provide explanation
- Verify that authorised officer records inventory of all physically impounded items [Sec. 247(1)(vi)]
- Prohibition order (instead of physical seizure) — valid for only 60 days [Sec. 247(4)(b)(ii)]

Presumption under Section 489:

- Assets/documents found during search → presumed to belong to assessee and represent income
- Rebuttable: assessee must provide explanation with documentary evidence

Culpable Mental State (Section 490):

- Prosecution: beyond reasonable doubt; Assessee: balance of probabilities

Defence Strategies:

- Challenge authorisation — must have "reason to believe" (not mere suspicion)
- Establish source of funds/assets with documentary evidence (gift deeds, inheritance documents, bank records)
- Establish that seized assets are covered by disclosed income
- Object to unduly broad prohibition orders beyond 60 days
- Invoke Section 491 — ensure prosecution sanctions obtained from appropriate authority



Strategy — Challenging Reassessment and Escaped Assessment Notices



Section 279-282 — Key Procedural Protections:

- Before issuance of Section 280 notice, AO must complete procedure under Section 281 — communicating reasons and considering assessee objections
- Notice must be based on "reason to believe" — not merely "reason to suspect" — that income has escaped assessment

Time Limits — Defence Points (Section 282):

- Income escaping < ₹50 lakh: generally 3 years from end of Tax Year
- Income escaping ≥ ₹50 lakh: up to 10 years (with prior approval)
- Time-barred notices are void ab initio — check precise limit applicable

Section 244 — Change of Incumbent:

- Assessee may demand: (a) reopening of previous proceeding; OR (b) rehearing before passing assessment order

Faceless Assessment — Section 273:

- Ensure all submissions filed electronically within prescribed time
- Demand copies of show cause notice, draft assessment order, and all documents relied upon
- Right to video-conferencing hearing must be exercised where available

Section 287 — Rectification:

- "Mistake apparent from the record" can be rectified at any time
- Assessee can suo motu apply for rectification
- Time limit: generally 4 years from the date of the order sought to be rectified



Strategy — Avoiding and Defending Cash Transaction Defaults (Sections 185–188)



Transaction Type	Limit	Risk if Violated
Accepting loan/deposit	₹20,000 aggregate	Penalty equal to the amount accepted
Receiving any amount	₹2,00,000 in a day/single transaction/one event	Penalty equal to the amount received
Repaying loan/deposit	₹20,000	Penalty equal to the amount repaid

Key Defences & Planning:

- Section 186 "One Event": AO may aggregate multiple payments for one event — demonstrate genuinely separate transactions with documentation
- Section 187: If turnover exceeds ₹50 crore in preceding year, failure to provide RuPay/UPI/CBDC facility is a violation — update IT infrastructure before year-start
- Section 470 Reasonable Cause: technical failure of banking/digital payment infrastructure on a specific day — documentary evidence from bank/payment provider
- Exemptions: Government, banking company, post office savings bank, co-operative bank, and Government company receipts/payments are exempt

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Strategy — Managing Liability as a Representative Assessee (Sections 302–308)



Key Risk — Personal Liability (Section 304/305):

- Representative assessee is subject to same duties, responsibilities, and liabilities as if income were received beneficially by him
- Assessed in own name in a representative capacity; tax is levied upon and recoverable from the representative assessee

Section 302 — Legal Representative:

- Liability is limited to the extent of the estate — important protection
- Personal liability arises if representative creates a charge on or disposes of estate assets while tax liability remains undischarged [Sec. 302(5)]
- Practical strategy: do not distribute estate assets until all tax liabilities are cleared or secured

Section 307 — Unknown Beneficiaries:

- Where beneficiaries' shares are indeterminate or unknown → tax at maximum marginal rate
- Prevention: ensure trust deeds/wills are drafted with specific, identifiable beneficiaries and expressly stated shares

Oral Trust — Section 308:

- Income of an oral trust is taxed at maximum marginal rate — regardless of actual marginal rate of beneficiaries
- Prevention: always execute trust in writing; for pre-existing oral trusts, forward signed statement of purpose, trustees, beneficiaries, and trust property to AO within prescribed time [Section 303(2)]



Strategy — Managing Criminal Prosecution Risk under Chapter XXII (Section 491)



Section 491 — Prosecution Sanction:

- No prosecution without prior sanction of Principal Commissioner/Commissioner/Commissioner (Appeals)/Joint Commissioner (Appeals)
- Challenge validity of sanction if proper procedure not followed

Compounding — Section 491(4):

- Any offence under Chapter XXII may be compounded by the Principal Chief Commissioner/Chief Commissioner or Principal Director General/Director General
- Compounding available before or after institution of proceedings
- Practical tool: approach for compounding where matter involves technical default rather than deliberate evasion

Non-Cognizable Offences — Section 492:

- Sections 476, 478, 479, 480, 482, 484 — police cannot arrest without warrant; process must be initiated through courts

Section 486 — Reasonable Cause:

- No punishment for failure covered by Sections 476 or 477 if reasonable cause is proved
- Key for TDS prosecution: demonstrate non-payment was due to cash flow crisis or banking system failure (not deliberate)

Section 478 — Wilful Evasion:

- "Wilful" is the key element — negligence or mistake does not constitute wilful evasion; gather all evidence of bona fide belief or computational error before prosecution stage

Section 479 — Failure to File Return:

- If return is filed (even belatedly under Section 263(4)) OR tax payable $\leq ₹10,000 \rightarrow$ prosecution is barred [Sec. 479(2)]



Strategy — Treaty Protection for Non-Residents and Limitation of Benefits (Section 159)



Section 159 — Tax Treaties:

- DTAA entered into by the Central Government override domestic law (subject to GAAR)
- Treaty rates apply where more beneficial than domestic rates

Section 184(12) — GAAR Overrides Treaties:

- "Tax treaty" for GAAR purposes means agreement referred to in Section 159(1) or (2)
- GAAR can deny treaty benefits if the arrangement is an Impermissible Avoidance Arrangement

Limitation of Benefit (LOB) Clauses in DTAA:

- Ensure substantive presence and economic activity in treaty partner jurisdiction
- Avoid pure conduit structures — precisely the arrangements GAAR and LOB provisions target

Non-Resident Planning — Section 61 (Presumptive Rates):

- Non-residents operating ships, aircraft, construction activities under turnkey projects, or providing services for mineral oil exploration → avail specific presumptive rate provisions to eliminate TP and documentation disputes

Rule 128(1)(b) — FII Safe Harbour:

- FIIs investing in listed securities under SEBI regulations and not claiming treaty benefit are protected from GAAR — important planning point for foreign fund structures

Section 9 — Deemed Accrual:

- Includes: business connection, property in India, source of income in India, salary for services in India
- Non-residents must carefully analyse whether their income truly falls outside the scope of Section 9



Strategy — Managing Tax in Business Succession and HUF Partition (Sections 313–315)



Section 313 — Business Succession:

- Where predecessor cannot be found, assessment for succession year and preceding year may be made on the successor
- Strategy: ensure sale/succession agreement provides for tax indemnification by the predecessor
- Obtain tax clearance/no-dues certificate for predecessor before completing succession

Partition Timing — Section 315:

- HUF income up to date of partition assessed as if no partition → each member jointly and severally liable
- Practical: effect total partition at the beginning of the tax year (1st April) to avoid complexity
- Post-partition: receive assets AFTER assessment and payment of all pre-partition tax liability

Partial Partition After 31st December 1978:

- Not recognised for tax purposes — family continues to be assessed as undivided HUF
- Strategy: avoid partial partition; opt for total partition if partition is desired

Business Reorganisation — Section 314:

- Modified return must be filed within 6 months from end of the month of court/tribunal order
- AO then passes order modifying income accordingly
- Strategy: ensure the court/tribunal order is clear and comprehensive to avoid subsequent disputes about scope of modification

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CASE-LAW THEMES

Judicial Trends — Slides 72–74

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Key Judicial Themes — Presumptive Taxation Disputes



- Theme 1 — Mandatory vs. Optional Nature: Presumptive taxation under Section 58 is optional, not mandatory. Eligible assessee may opt out and offer actual profits (subject to audit and books requirement if total income exceeds basic exemption).
- Theme 2 — "Eligible Assessee" — Agency Business Exclusion: Assessee's earning commission or carrying on agency business are excluded from "eligible assessee" [Sec. 58(11)(a)(iv)(v)]. Key battleground: whether the business truly involves an agency element.
- Theme 3 — Once Out, Always Out (5-Year Lock-Out): The 5-year ineligibility under Section 58(7) is strictly applied. Voluntary exit by declaring profits below presumptive threshold triggers a 5-year bar — even if genuine profits were below the threshold.
- Theme 4 — "Non-Account Payee" Instrument = Cash: Section 58(9) deems non-account payee cheques/drafts as cash receipts for the 5% threshold. Bearer cheques or non-account payee drafts must not be issued to maintain the threshold.
- Theme 5 — Deduction within Presumptive Income: Section 58(4) expressly bars any further deductions. Section 58(5) carved-out exception: allows deduction of partner's salary and interest from presumptive income of a goods carriage firm.

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Key Judicial Themes — Impermissible Avoidance and Commercial Substance (GAAR)



- Theme 1 — Main Purpose Test: GAAR requires the main purpose to be obtaining a tax benefit. Multiple purposes with commercial purpose as the main (tax saving incidental) → GAAR should not apply. Section 179(2) creates a presumption where any step has a tax benefit purpose — reversal of burden is key.
- Theme 2 — Round-Trip Financing: Section 180(2): funds transferred among parties without substantial commercial purpose other than tax benefit — time, sequence, or mode of transfer is irrelevant. Each transfer leg must have independent commercial justification.
- Theme 3 — ₹3 Crore Threshold [Rule 128(1)(a)]: Threshold applies to the tax benefit in the relevant tax year (not transaction value). In phased transactions, AO may aggregate tax benefits across related steps in a single tax year.
- Theme 4 — Consequences are Flexible: Section 181 authorises AO to recharacterise, disregard, or combine steps — broader than a mere disallowance; AO can treat the transaction as if structured differently. Assess worst-case recharacterisation exposure.
- Theme 5 — Procedure must be Followed: Rules 129–131 prescribe mandatory procedure: notice → assessee objections → Commissioner's decision → (if needed) Approving Panel. Failure to follow procedure renders the GAAR determination vulnerable to challenge.

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Key Judicial Themes — TDS Deduction and Liability



- Theme 1 — "Person Responsible for Paying": TDS liability attaches to the person responsible for paying — in e-commerce transactions, the e-commerce operator is deemed the person responsible for paying, even where payment is made directly by the buyer to the seller [Note 3(c) to Sl. No. 8(v)].
- Theme 2 — Threshold and Aggregation (Contractor TDS, Sl. No. 6(i)/(ii)): Single transaction threshold: ₹30,000; Annual aggregate threshold: ₹1,00,000. TDS applies once either is exceeded, and is deductible on all payments once the threshold is crossed.
- Theme 3 — No TDS on Exempt Income: Where payee's income from a specific source is exempt under Schedule II or III, TDS should not apply — payee may obtain a nil/lower deduction certificate.
- Theme 4 — Interest on Late TDS Payment: Section 397 requires TDS deposit within prescribed time after deduction. Delay attracts interest. Statutory defence [Sec. 476(2)]: if TDS is deposited before the due date for filing the TDS statement → prosecution is not available (but interest still applies).
- Theme 5 — VDA TDS — Threshold Nil: Virtual digital asset TDS at 1% applies from the first rupee — no threshold. Crypto exchanges and peer-to-peer platforms must ensure compliance. Interaction with e-commerce TDS resolved in favour of VDA TDS taking precedence [Note 4].

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Integrated Approach — Compliance, Defence, and Dispute Minimisation



Layer 1 PREVENTION

- Verify TDS thresholds and rates at Tax Year start using Section 393 Table
- Digitise all receipts above ₹2 lakh; implement RuPay/UPI if turnover > ₹50 crore
- Track turnover and cash receipt % throughout year; do not breach 5% threshold
- Document beneficiary shares explicitly in trust instruments; effect HUF partition at year-start

Layer 2 MITIGATION

- Respond to all notices within prescribed time — never ignore a notice
- Invoke Section 244(2) right to rehear if AO has changed since proceedings began
- File rectification application (Section 287) for obvious errors before appealing
- Raise Section 470 reasonable cause defence at penalty show-cause stage

Layer 3 DEFENCE

- Escaped assessment: verify time limit compliance; check Section 281 pre-notice procedure
- GAAR: verify tax benefit > ₹3 crore; verify Rules 129–131 procedure was followed
- Prosecution: check prior sanction (Section 491) from appropriate authority; explore compounding
- Search & seizure: document sources of all assets; rebut Section 489 presumption

Key Principle: Digital compliance, TDS obligations, and timely return filing remain the most effective defence against penalties and prosecution under the Income-tax Act, 2025.

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Thank You



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